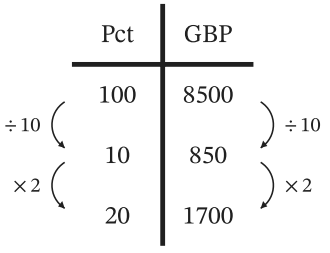
**4** Raya buys a van for £8500 plus VAT at 20%

Raya pays a deposit for the van.
She then pays the rest of the cost in 12 equal payments of £531.25 each month.

Find the ratio of the deposit Raya pays to the total of the 12 equal payments.
Give your answer in its simplest form.

Pct = percentage; GBP = pounds.




VAT = £1700

Full price = 8500 + 1700 = £10200

**1 mark**
Find the price including VAT

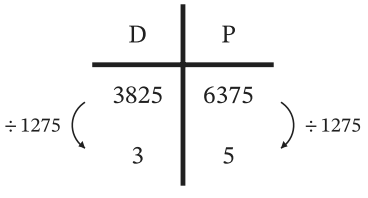
12 payments: 12 × 531.25 = £6375

**1 mark**
Calculate the total of the monthly payments

Deposit: 10200 − 6375 = £3825

**1 mark**
Subtract payments from the full price

D = deposit; P = total payments.




**1 mark**
Write the deposit : payments ratio

Deposit : payments = 3 : 5

**1 mark**
Simplify both quantities by 1275

3 : 5

**(Total for Question 4 is 5 marks)**